

MEMORANDUM OF UNDERSTANDING

between

NESS Consulting Services (Proprietary) Limited

(Reg No: 2005/020315/07)

(herein referred to as "Party A")

and

Sautech Trust

(IT Number 022401214(9))

(herein referred to as "Party B")

and

Lindie Taljaard

(ID Number: 820130212083)

and

Charlaine Marnewick

(ID Number: 81024008001)

and

Chandre Scholtz

(ID Number: 9402140060081)

and

Cheree Bester

(ID Number: 912100185082)

(herein referred to as "Individual Shareholders" or collectively as "Party C")

1. PREAMBLE

- 1.1. The purpose of this Memorandum of Understanding ("MOU") is to set forth the basic principles and understanding between the parties as set out above in relation to the establishment and collaboration in forming a company, **Cyberhost (Proprietary) Limited** (*hereinafter referred to as "Cyberhost"*), an IT services company.
- 1.2. The primary objective is to leverage each party's strengths and resources to establish Cyberhost, which will operate in the information technology and cybersecurity sectors, delivering value and expertise to its customers.
- 1.3. It further outlines the investment process necessary in providing the seed capital and financial resources that will be outlined in the Cyberhost Business Plan.

2. DEFINITIONS

The following words have the meanings set out next to them:

- 2.1.1. "Confidential information" means all the information provided in terms of this agreement.;
- 2.1.2. "Contracts" means the agreements described in clause 3.5;
- 2.1.3. "Disclosing party" means the party which discloses confidential information to the other party;
- 2.1.4. "MOU" means this Memorandum of Understanding including all annexures, schedules and addenda attached hereto;
- 2.1.5. "Parties" means the parties to this agreement as set out above;
- 2.1.6. "Receiving party" means the party which receives confidential information;
- 2.1.7. "Signature date" means the date on which the last party signs this MOU;
- 2.1.8. "Third party" means any individual, corporation, company or other entity, which is not a party.

3. ESTABLISHMENT OF CYBERHOST

- 3.1. The parties agreed to collaborate in the formation of Cyberhost. This section sets out the responsibilities of each party in the establishment of Cyberhost, as well as the corporate governance duties that all parties must adhere to in accordance with the King IV Corporate Governance Guidelines and the Companies Act 71 of 2008 after successful registration.

- 3.2. Party A will contribute expertise in information security, more specifically consulting, project management, business development and insurance solutions. This includes:
- 3.2.1. The appointment of the Chairperson and CEO;
 - 3.2.2. Development of Business Plans;
 - 3.2.3. Marketing, Business Development and Sales;
 - 3.2.4. Finance and Administration;
 - 3.2.5. Consulting and Advisory Services
 - 3.2.6. Short term insurance, more specifically Commercial Lines
- 3.3. Party B will provide IT infrastructure technical services, cyber security infrastructure, security managed services, technical resources and innovation. This includes:
- 3.3.1. The appointment of the CTO;
 - 3.3.2. Technology supplier and enabler services;
 - 3.3.3. Technical information and cyber security services;
 - 3.3.4. First right of refusal for all ITC services provided.
- 3.4. Party C (Individual Shareholders) will contribute their respective expertise and talents in their individual capacities, which will be beneficial to the growth and strategic positioning of Cyberhost.
- 3.5. The parties hereby agree, to achieve the primary objective of this Memorandum of Understanding, by diligently fulfilling the following deliverables:
- 3.5.1. the registration of the company within 30 business days after signature of this agreement;
 - 3.5.2. the drafting and implementation of the Memorandum of Incorporation,
 - 3.5.3. the establishment and conclusion of a comprehensive Shareholders Agreement,
 - 3.5.4. the development of a robust Governance Framework; and
 - 3.5.5. compliance to this agreement.
- 3.6. The following provisions shall be incorporated into the Shareholders Agreement to be finalized in accordance with clause 3.5.2:
- 3.6.1. Any fundamental alterations to the business objectives and strategies of the company, as set out in clause 5, shall require the approval of at least 50% + 1 of the voting rights to effectuate such changes.
 - 3.6.2. Party B shall be appointed as the designated technology supplier and enabler, contingent upon its ability to provide market services in a manner that is both cost-effective (at a cost-plus margin of 20%) and competitively viable.

- 3.6.3. The allocation of funding shall be proportional to each shareholder's respective shareholding in the company. Funding requirements will be determined by mutual agreement among the shareholders and will be based on the business plan approved by the board of directors.
- 3.6.4. Safeguards shall be instituted to protect against any dilution of shares, ensuring that existing Shareholders retain their proportional ownership.
- 3.6.5. All existing Shareholders shall be granted a pre-emptive right to acquire shares prior to any sale or transfer of shares by other Shareholders, thereby preserving their ownership interest.
- 3.6.6. Board representation shall correspond to the shareholding percentages of each Shareholder. In circumstances where board representation is insufficient relative to shareholding, a consortium may be established to ensure adequate representation.
- 3.6.7. Provisions for the protection of Intellectual Property (IP) shall be included, recognizing that each party possesses distinct businesses that contribute to the collective objectives of the partnership.
- 3.6.8. The roles, responsibilities, and obligations of Directors shall be explicitly defined, including established procedures for budget approvals and strategies for capital injections, which may include fixed fees, variable contributions, or contributions based on IP.
- 3.6.9. Specific protections for all shareholders shall be delineated, particularly in scenarios involving rights offers or capital injections, to ensure their interests are safeguarded.
- 3.6.10. The contribution from shareholders holding a 5% ownership interest will be redeemed from dividends declared.
- 3.6.11. The Shareholders Agreement shall outline the initial roles, compensation structures, and qualifications of the Executive Team, as well as the rights of the Board concerning voting procedures and shareholding percentages prior to any engagements with the Shareholders.

4. STRATEGIC INITIATIVES

- 4.1. The parties agree to appoint an interim Executive Committee (EXCO) to oversee the startup processes of the business, focusing on key strategic initiatives. The interim EXCO will be responsible for:
 - 4.1.1. developing a comprehensive Business Plan,
 - 4.1.2. outlining the Product and Services Architecture,
 - 4.1.3. establishing effective Marketing, Business Development, Sales Processes and Organisation, and

- 4.1.4. address Finance, Talent Management, and Customer Experience to ensure a cohesive operational framework.
- 4.2. All decisions made by the interim EXCO shall be subject to ratification by the board of directors following the successful incorporation of the company, with such resolutions formally recorded.
- 4.3. The Parties hereby agree that seed capital to support the startup requirements of Cyberhost, shall be a contribution of R100,000.00 (HUNDRED THOUSAND RANDS) from Party A and Party B as the initial investment.
- 4.4. In addition, it is herewith agreed that either party shall commence with the setup costs for the business, and all parties agree that these costs shall not exceed R50,000.00 (FIFTY THOUSAND RANDS). This contribution will be recognized as a shareholder loan to the company, ensuring that the funds are utilized effectively for the operational and startup needs of Cyberhost. The terms for repayment of the shareholder loans will be outlined in the shareholders' agreement.
- 4.5. The Business Plan developed will be presented to the Board of Directors for review and approval. Upon receiving approval from the Board, the Business Plan will serve as a strategic guideline for the investment requirements of the business, outlining the financial and operational targets necessary for the successful establishment and growth of Cyberhost.

5. BUSINESS OBJECTIVES AND SCOPE OF WORK

- 5.1. The nature of business shall encompass the development and enhancement of markets, sales, and capabilities across the undermentioned key areas.
- 5.2. Information Security and Cybersecurity Consulting and Professional Services:
 - 5.2.1. Conducting Cybersecurity Risk Assessments to identify and mitigate potential threats.
 - 5.2.2. Establishing IT Governance, Risk, and Compliance frameworks, policies, and procedures.
 - 5.2.3. Performing Vulnerability Assessments, Penetration Testing, and Threat Intelligence analysis.
 - 5.2.4. Implementing Incident Management and Recovery strategies to respond effectively to security breaches.
 - 5.2.5. Providing a Virtual CISO service to oversee cybersecurity initiatives.
- 5.3. Information and Digital Technology:

- 5.3.1. Offering digital solutions and IT advisory services tailored to clients' specific needs.
- 5.3.2. Developing Custom Applications that address unique business requirements.
- 5.4. Managed Security Services:
 - 5.4.1. Delivering comprehensive managed security solutions to protect organizational assets.
- 5.5. Managed Infrastructure Services:
 - 5.5.1. Providing Cybersecurity services.
 - 5.5.2. Managing On-Premise ICT Infrastructure to ensure optimal performance and security.
 - 5.5.3. Offering Hosting services to support business operations.
 - 5.5.4. Overseeing ICT Asset Lifecycle Management to ensure efficient use and maintenance of technology resources.
- 5.6. Niche IT Services:
 - 5.6.1. Incorporating specialized IT services, including those provided by Sautech as a hardware and infrastructure supplier, to enhance the overall service offering.

6. NEGOTIATIONS AND CONCLUSION OF CONTRACTS

- 6.1. Immediately after the signature date the parties shall commence:
 - 6.1.1. meetings and negotiation to fulfil the necessary deliverables; and
 - 6.1.2. negotiations of the contracts.
- 6.2. The parties intend that the negotiations shall be completed as soon as possible from the signature date, taking into consideration the role of any Third Party's assistance. Each party shall use reasonable endeavours to:
 - 6.2.1. give the other party all necessary assistance in carrying out their duties to assist in completing all obligations, negotiating in good faith; and
 - 6.2.2. procure that access to all information and facilities that the other party may reasonably require is made available.
- 6.3. Each party acknowledges that the information provided by the other party shall be accurate and done in good faith.

7. CONFIDENTIALITY

- 7.1. All parties undertake to treat the confidential Information of the disclosing party as strictly confidential, not to divulge to any third party or sell, trade, publish or reproduce any of the confidential Information of the disclosing party and not to put in use for any purpose unrelated to this agreement, in any manner, any confidential information of the disclosing party, except as provided by the exclusions specified in clause 7.2 below.
- 7.2. The obligation of confidentiality contained in clause 7.1 above shall not apply to confidential information which:
- 7.2.1. at the time of the provision of the information to the receiving party or at any time after is or becomes a part of the public domain, other than as a result of an unauthorised disclosure by the receiving party;
 - 7.2.2. is required to be disclosed by applicable law, regulation or competent judicial, governmental or other authority;
 - 7.2.3. is disclosed to the receiving party, without obligation of confidentiality or restriction on its use, by a third party which has the right to make such disclosure;
 - 7.2.4. at the time of the provision of the confidential information it was already known to the receiving party; or
 - 7.2.5. the parties expressly agree in writing shall not constitute confidential information.
- 7.3. The receiving party shall be entitled to disclose the confidential information to the following third parties, without requiring the disclosing party's prior written consent, solely to the extent that disclosure of such confidential information to such third parties is necessary for purposes of the negotiations and in connection with this MOU:
- 7.3.1. employees, officers, and directors of the receiving party;
 - 7.3.2. any representatives of the receiving party in connection with the project; or
 - 7.3.3. any financial institution for the purposes of an evaluation of the project by such financial institution with a view to any corporate financing or credit line for a party relating to the project.
- 7.4. The receiving party shall be responsible for ensuring the compliance by any person specified in clause 7.3 with the provisions of clause 7.
- 7.5. The provisions of clause 7 shall survive any termination or expiry of this MOU and shall terminate upon:
- 7.5.1. the date of termination or expiry of this MOU; and
 - 7.5.2. the execution of the contracts.

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8. PUBLICATION

- 8.1.1. Neither party may publish or publicly disclose the contents or intent of this MOU without the prior written consent of the other party.

9. TERM AND TERMINATION

- 9.1. Unless terminated in accordance with this clause, this MOU shall be effective from the signature date and shall remain in effect until notice of termination is given.
- 9.2. Either party may without prejudice to its other rights and remedies by notice in writing to the other party immediately terminate this Agreement if the other:
- 9.2.1. is in material or persistent breach of any of its obligations under this Agreement and if that breach is capable of remedy and the other has failed to remedy that breach within 10 (TEN) business days after receiving written notice requiring it to remedy that breach; or
- 9.2.2. is, other than for the purposes of reconstruction or amalgamation, placed under voluntary or compulsory liquidation or sequestration, whether provisional or final or if any form of business rescue proceedings commences;
- 9.2.3. makes any arrangement or compromise with its creditors generally.
- 9.3. Either party may without prejudice to its other rights and remedies by notice in writing to the other terminate this Agreement by giving 20 (TWENTY) business days' notice:
- 9.3.1. if the other Party ceases, or threatens to cease, carrying on business in South Africa; or
- 9.3.2. if the other party or any of its associates undergo a change of control that is in the first party's reasonable opinion likely to have a material or adverse effect on it or the provision of the deliverables.
- 9.4. In the event of termination of this Agreement for any reason, each party shall within 10 (TEN) business days of such termination return or, at the other party's option, destroy, all confidential information and any other information or documentation, in its possession or under its control and all copies of such information.
- 9.5. Termination of this Agreement for whatever reason shall not operate to affect any provisions that expressly or by implication survive termination.

10. DISPUTE RESOLUTION

- 10.1. Any dispute arising between the parties out of or in connection with this Agreement shall be dealt with in accordance with the provisions of this clause.
- 10.2. The dispute resolution process may be initiated at any time by either party serving a notice in writing on the other party that a dispute has arisen. The notice shall include reasonable information as to the nature of the dispute.
- 10.3. The parties shall use all reasonable endeavours to reach a negotiated resolution through the following procedures:
- 10.3.1. Within 10 (TEN) business days of service of the notice, the parties shall meet to discuss the dispute and attempt to resolve it.
- 10.3.2. If the dispute has not been resolved within 5 (FIVE) business days of the first meeting, then the matter shall be referred to Senior Attorneys of each disputing party practicing as an attorney for at least 10 (TEN) years or persons of equivalent seniority. The Attorneys shall meet within 5 (FIVE) business days to discuss the dispute and attempt to resolve it.
- 10.4. If the dispute has not been resolved within 20 (TWENTY) business days of the first, then the matter shall be referred to mediation in accordance with the Association of Arbitrators in Southern Africa, in terms of the Mediation Rules which are current at the time.
- 10.5. The arbitration will be conducted in accordance with the rules of the Association of Arbitrators in South Africa. The arbitrator will be such person as may be agreed upon between the Parties, or failing agreement such person as may be appointed at the request of any Party by the Association of Arbitrators of South Africa.
- 10.6. The place of the arbitration will be Johannesburg.
- 10.7. Nothing in this clause shall prevent either party from obtaining urgent relief in any court of competent jurisdiction and to this end the parties submit themselves to the jurisdiction of the courts of South Africa.

11. NOTICES

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- 11.1. No notice or other communication under this MOU shall be effective unless it is given in writing to the applicable party, whether by mail, fax, e-mail or personal delivery, at the relevant address indicated below:

The Party A: NESS Consulting Services Pty Ltd

Represented by: Ness Projects

Address: 222 Smit Street, 19th Floor, Braamfontein

Key Contact: Mbulelo Maqubela

Phone: 011 715 9700

Email: info@ness-projects.co.za

Party B: Sautech

Represented by:

Address:

Key Contact:

Phone:

Email:

Party C – F

Information to be provided

- 11.2. Any notice or other communication given by a party under this Agreement shall:

11.2.1. be in writing and in English;

11.2.2. be signed by, or on behalf of, the party giving it, except for notices sent by email; and

11.2.3. be sent to the relevant party at the address set out above.

- 11.3. Notices may be given, and are deemed received:

11.3.1. by hand: on receipt of a signature at the time of delivery;

11.3.2. by email on receipt of a delivery receipt email from the correct address.

- 11.4. Any change to the contact details of a party as set out herein shall be notified to the other party in accordance herewith and shall be effective:

11.4.1. on the date specified in the notice as being the date of such change; or

11.4.2. if no date is so specified, 10 (TEN) business days after the notice is deemed to be received.

12. GENERAL

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MEMORANDUM OF UNDERSTANDING

SIGNED at Braamfontein on this 19 day of February 2025

Mr. M. J. J. J.
Party A

Duly represented by

SIGNED at Vereeniging on this 06th day of May 2025

J. J. J. J.

Party B

Duly represented by

SIGNED at Vereeniging on this 06th day of May 2025

H. J. J. J. J. J. J. J. J. J. J. J.
Party C

SIGNED at _____ on this _____ day of _____

Party D

SIGNED at _____ on this _____ day of _____

Party E

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H. J. J. J.

MEMORANDUM OF UNDERSTANDING

SIGNED at _____ on this ____ day of _____.

Party F

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F *B* *W* *E*
R.G.